

Investment Without Constant Guesswork

In a world shaped by geopolitics, inflation, tariffs and changing business cycles, staying invested may be easier when your portfolio does the adapting for you.

Most of us are already busy juggling a demanding career, family responsibilities, social commitments and fitness goals. If one were to add managing investments to that list, it can get overwhelming. That is precisely why many investors opt for mutual funds, which offer professional investment management and make investing in equity markets largely hands-free.

But the reality is often more complicated. With dozens of equity mutual fund categories investing across market capitalizations, sectors, themes and hundreds of mutual fund schemes within those categories, it can get confusing to choose the right funds. Should you invest in a large cap, mid cap or small cap fund? A fund focused on the IT or Auto sector? Or one that invests in a Consumption or Exports theme?

Making these choices can start to feel like making active investment calls on which parts of the economy are likely to outperform.

In the current scenario, for instance, one would have to follow global developments related to the conflict in Iran to understand the impact on crude oil and other commodity prices and in turn the impact on India's inflation and current account deficit. Higher energy prices would also increase corporate input costs across sectors like transport, aviation and manufacturing. Similarly, any new tariff announcements from the US would have to be monitored for their impact on Indian export-oriented sectors like IT, electronics and speciality chemicals. Shifts in US Federal Reserve commentary on rate hikes or cuts could, along with movements in US bond yields and the US dollar, influence the direction of the Indian Rupee and foreign investment flows into the Indian economy.

On the domestic front, one would have to track the progress of the monsoon to assess its impact on agricultural output and rural incomes and in turn implications

“
A business cycle fund allows investors to participate in long-term equity growth while leaving the portfolio adjustments to professional fund managers.
”



Shashi Bhushan Verma
Mutual Fund Distributor

for food inflation, and demand for FMCG goods, tractors and fertilizers. Changes in taxation would need to be evaluated for their effect on consumer spending and consequently demand in sectors such as automobiles and consumer durables. One would also have to keep a close watch

on government infrastructure spending on highways, railways, defence etc. and corporate capex announcements in steel, cement, renewables, semiconductors, data centres to understand investment cycles and identify the next phase of industrial expansion.

In effect, investors would need to constantly track signals from geopolitics, global central banks, domestic weather patterns, fiscal policy, taxation and corporate investment cycles just to form a view on which parts of the market might outperform next and then repeatedly adjust mutual fund allocations accordingly. For instance, if global developments are expected to hurt larger, globally exposed businesses more than domestic economy-oriented small and mid-caps (SMIDs), the logical response would be to reduce allocation to large cap funds and increase exposure to small and mid-cap funds. When the cycle turns and SMID valuations run ahead of fundamentals, investors would need to book profits and shift back into large cap funds.

But who has the time or expertise to do this consistently?

The solution? A diversified mutual fund that adapts automatically to changing market conditions and thus does not require investors to constantly shift between sectors and market segments themselves. A business cycle mutual fund which tracks domestic and global macroeconomic variables and dynamically invests across market capitalizations, sectors and themes based on the shifting macro narratives is one such solution. These funds aim to participate in areas of strength while reducing exposure to segments facing headwinds.

A business cycle mutual fund can therefore allow investors to focus on their lives, while still participating in long-term wealth creation through Indian equity markets in a truly hands-free way.